# DONOHUE ENTERTAINMENT

“Own the Light.”

STORY BIBLE — VOLUME 06: THE COMPANY

Founded Monday, August 6, 1923 — Los Angeles, California

Headquarters: Burbank, California

Market value (April 2006): **$1.5 trillion**, the most valuable company on Earth

**LOCKED RULE:** In our story, **The Walt Disney Company does not exist.** Donohue Entertainment fills its role in history, in the industry and in culture, with its own characters, films, parks and brands.

# 1. At a Glance (April 28, 2006)

| Item | Detail |
|---|---|
| Legal name | Donohue Entertainment, Inc. (NYSE: **DNE**; a component of the Dow Jones Industrial Average) |
| Founded | August 6, 1923, Los Angeles, as the *Donohue Brothers Cartoon Studio* |
| Founders | Augustus “Gus” Donohue (creative) and Lucius Donohue (business) |
| Headquarters | The Donohue Studios lot, Burbank, California (since 1940) |
| Chairman | Victor Donohue (69), Chairman since 1996 and CEO from 1966 to 1996 |
| CEO | Natasha Donohue Bullock (44), CEO since 1996 |
| Market value | $1.5 trillion (about 6.0 billion shares at about $250 each) |
| Fiscal 2005 revenue | About $172 billion; net income about $41 billion |
| Employees | About 410,000 worldwide |
| Logo | **Sparky the Firefly**, whose glowing trail forms the Donohue “D” |
| Motto | “Own the Light.” Gus's lesson after losing his first character: *own everything you create*. |

**Why it's worth $1.5 trillion:** Donohue isn't just a studio. It is the world's largest owner of characters, music, sports rights, broadcast networks, theme parks, consumer brands, real estate and entertainment technology, and it keeps all of it in the family. Almost every person on Earth has given Donohue money this year without realizing it.

# 2. The History

## Origins (1899-1923)

**Augustus “Gus” Donohue** was born Wednesday, February 22, 1899, in Tulsa, Oklahoma, and grew up in the Greenwood district, the prosperous Black neighborhood known as “Black Wall Street.” He was a gifted cartoonist who drew for the neighborhood's Black newspaper. On May 31 and June 1, 1921, the **Tulsa Race Massacre** burned Greenwood to the ground. The Donohue family's print shop was destroyed. Gus, now 22, and his older brother **Lucius**, a World War I veteran who had served in France, put their mother on a train and went west to Los Angeles with almost nothing.

> The family story everyone at Donohue knows: *Gus said they had built something beautiful once and watched other people burn it down. This time, nobody would be able to touch it.*

## The Studio Years (1923-1966)

| Year | Milestone |
|---|---|
| 1923 | **August 6:** the Donohue Brothers Cartoon Studio opens in a rented garage in Los Angeles. Gus draws and Lucius sells. Gus's wife **Ruby (née Hale)** leads the ink-and-paint department. |
| 1927-28 | **The theft.** Because white-owned distributors won't sign a Black-owned studio, the brothers sell their cartoons through a white New York middleman, **Harlan Pruitt**. Their first hit character, *Pepper the Pup*, was registered in Pruitt's name, and in 1928 Pruitt takes Pepper and most of the animators. Gus vows to own everything from then on, and that becomes the company's founding law. |
| 1928 | On the train home from New York, Gus sketches a firefly in a bowler hat. **Sparky the Firefly** debuts in *Midnight Special* (released Friday, November 9, 1928), the first hit cartoon with synchronized sound. Gus does Sparky's voice himself. Sparky becomes the most famous cartoon character in the world. |
| 1932 | The first full Technicolor cartoon, and the studio's first Academy Award. |
| 1937 | ***The Glass Mountain***, the first American feature-length cel-animated film, premieres in December at the Carthay Circle Theatre. Because of the era's racism, Gus watches his own premiere from the projection booth. It becomes the highest-grossing sound film of its time. |
| 1940 | The company moves to its new Burbank studio, which is still its headquarters. Gus's passion project, *Anansi*, based on West African folklore, flops after Southern theaters refuse to show it. Decades later it is hailed as a masterpiece. |
| 1941 | An animators' strike, and the founding of the **Donohue Foundation**. |
| 1942-45 | Wartime training and morale films. Sparky is painted on bombers, including planes flown by the Tuskegee Airmen. |
| 1954 | *Donohue's Wonderland* premieres on ABC television. The relationship with ABC begins. |
| 1955 | **Sunday, July 17: Donohue Kingdom** opens in Anaheim, the world's first modern theme park. Gus insists it is open to everyone from the first day. |
| 1957-59 | **The Reveal.** A *Life* magazine profile shows millions of white Americans, for the first time, that the man behind Sparky is Black. White Citizens' Councils organize boycotts and Southern theater chains drop Donohue films. Gus refuses to back down. The company survives on audiences in the North, the West and overseas, and comes out of the boycott a symbol of dignity. |
| 1964 | **Victor Donohue**, Gus's son, who broke away from his father to become an actor in New York, co-founds **Smilley-Donohue Productions** with his best friend **Cornelius Smilley**. It is an independent live-action label, distributed by Donohue Entertainment and funded largely by the Smilley Fund. |
| 1966 | **Wednesday, November 2:** Gus Donohue dies at 67. The board wants an outside CEO. Victor, 30, wins control by folding Smilley-Donohue Productions and its hit film library into Donohue Entertainment. **Cornelius is bought out and the Smilley Fund is wiped out** (see Volume 05). Victor becomes CEO. |

## The Victor Era (1966-1996)

| Year | Milestone |
|---|---|
| 1971 | **October 1:** the **Donohue World Resort** opens in Orlando, Florida, with its own self-governing special district. Lucius Donohue dies that December, having seen his brother's last dream completed. |
| 1983 | The **Donohue Channel** launches on cable. **Tokyo Donohue Kingdom** opens. |
| 1984 | A New York corporate raider attempts a hostile takeover. Victor beats him in a brutal public fight. |
| 1986 | **Recapitalization:** Victor creates super-voting Class B shares so the family can never be taken over again. |
| 1989-99 | **The Donohue Renaissance** in animation: a decade of blockbuster musicals and record soundtracks on the company's own label, **Firefly Records**. The **Lantern Pictures** label (launched 1984) makes films for adult audiences. |
| 1992-93 | **Donohue Kingdom Paris** opens. The company buys Miramax. |
| 1995-96 | Donohue buys **Capital Cities/ABC**, including **ABC** and **ESPN**, for $19 billion. It is the biggest media deal in history at the time. |

## The Natasha Era (1996-present)

| Year | Milestone |
|---|---|
| 1996 | **Natasha Donohue Bullock**, 35, becomes CEO and Victor becomes Chairman. Natasha completes the ABC integration and makes the company leaner and more ruthless. In 1997 she raids Smilley Management Group's clients. |
| 1998 | The **Donohue Cruise Line** launches. |
| 2004 | Donohue buys the Muppets. |
| 2005 | **September 12: Hong Kong Donohue Kingdom** opens. |
| 2006 | **January 24:** Donohue announces it will buy **Pixar** for $7.4 billion. **The deal closes on May 5, 2006, one week after our story begins.** |

## Real History Still Ahead (it happens as it really did, with Donohue in Disney's place)

| Date | Event |
|---|---|
| Aug 31, 2009 | **Donohue announces it is buying Marvel Entertainment** for $4 billion. Marc-Anthony, a Donohue grandson, will by then already be Iron Man, which raises charges of nepotism and gives Desmond Smilley ammunition. |
| Oct 30, 2012 | Donohue buys Lucasfilm (*Star Wars*) for $4.05 billion. |
| 2016 | **Shanghai Donohue Kingdom** opens. |
| 2017-19 | Donohue buys 21st Century Fox for $71.3 billion. **The X-Men, the Fantastic Four and Deadpool come home**, which is the payoff of our Rights Reservation Doctrine. |
| Nov 12, 2019 | The **Donohue+** streaming service launches. |

# 3. The Empire (2006 Divisions)

| Division | What it includes |
|---|---|
| Studio Entertainment | Donohue Pictures; Donohue Animation; Pixar (closing May 5, 2006); Lantern Pictures (adult films); Miramax; Firefly Records; Donohue Theatrical (Broadway) |
| Media Networks | ABC Television Network and owned stations; **ESPN** (majority owner); the Donohue Channel; ABC Family; stakes in A&E, History and Lifetime; ABC Radio |
| Parks & Resorts | Donohue Kingdom (Anaheim, 1955); Donohue World Resort (Orlando, 1971); Tokyo (1983, licensed); Paris (1992); Hong Kong (2005); Donohue Cruise Line; Donohue Vacation Club |
| Consumer Products | The world's largest licensing business: toys, clothing, books, Donohue Stores, Donohue Publishing (Hyperion-equivalent), and baby and food brands |
| Interactive | Video games, Donohue.com, and mobile content |
| Donohue Imagineering | The secret weapon: patents in animatronics, motion capture, ride systems, projection and robotics, licensed to aerospace companies, hospitals and the military |

*Note:* Every Disney-branded channel and label from real history gets a Donohue name. For example, Toon Disney becomes **Sparky Toons**, and Radio Disney becomes **Radio Donohue**.

## The Monopoly: How Everyone Depends on Donohue

- **Childhood:** nearly every child on Earth grows up with Sparky. The Donohue Channel is where America's child stars are made, Marc-Anthony, Elxa, Tayia, Grace and Esther among them, and so is a generation of rivals.
- **Sports:** ESPN controls the main sports broadcast rights. Every league depends on Donohue's money.
- **News and television:** ABC News and the owned stations reach most American homes.
- **Music:** Firefly Records and Donohue Music Publishing own one of the largest song catalogs in existence. Every wedding, commercial and karaoke night pays a royalty.
- **Hollywood itself:** Donohue distributes, finances or owns a stake in a huge share of what gets made. Rival studios rent its post-production facilities and license its technology. Talent agencies need its deals. Very few people in Hollywood can afford to cross Donohue, which is exactly why the Smilleys are so isolated.
- **Hidden reach:** Imagineering robotics are in hospital rehabilitation equipment. Donohue World has its own government in Florida. The company owns real estate, holds tech patents and has supplier relationships with millions of small businesses.
- **Antitrust:** regulators at the Justice Department, the FTC and the European Commission circle constantly. Lawmakers threaten to break the company up, and Natasha's lobbyists and lawyers win every time. This is an ongoing source of drama.

## The Donohue Foundation — Spares No Expense

Founded in 1941, it is the world's largest corporate charity. It funds full-ride scholarships, endowments for HBCUs (historically Black colleges and universities), children's hospitals (each with a Sparky wing), free park visits for seriously ill children and their families, disaster relief that often arrives before the Red Cross, arts education in every state, and the **Greenwood Fund**, Gus's memorial, which invests in Black-owned businesses. The family motto: *"If we're going to give, give like we mean it."*

# 4. Share Distribution (April 28, 2006)

Donohue uses a **dual-class share structure**, like Ford, Comcast, Berkshire Hathaway and Google in real life. It was created in Victor's 1986 recapitalization so the company can never be taken over.

| Class | Shares | Votes per share | % of equity | % of voting power |
|---|---|---|---|---|
| Class A (public, NYSE: DNE) | 4.68 billion | 1 | 78.0% | 26.2% |
| Class B (Donohue family only; not traded) | 1.32 billion | 10 | 22.0% | **73.8%** |
| **Total** | 6.00 billion | — | 100% | 100% |

**What this means:** the Donohue family owns less than a quarter of the company but controls almost three-quarters of the votes. No investor, raider or board revolt can overrule them. If a Class B share is sold outside the family, it automatically converts to an ordinary Class A share.

## Who Owns Donohue

| Shareholder | Class | % of equity | Approx. value* |
|---|---|---|---|
| **Victor & Joan Donohue** | B | 9.0% | $135 billion |
| **Natasha & Robert Bullock** | B | 7.5% | $112.5 billion |
| **Donohue Family Trust** (Gus and Lucius's legacy shares; Victor is trustee) | B | 4.0% | $60 billion |
| **Trusts for Elxa, Marc-Anthony and Grace** (0.5% each) | B | 1.5% | $7.5 billion each |
| *Donohue family total* | B | *22.0%* | *$330 billion* |
| Barclays Global Investors | A | 4.2% | $63 billion |
| The Vanguard Group | A | 3.7% | $55.5 billion |
| State Street Global Advisors | A | 3.3% | $49.5 billion |
| Fidelity Investments | A | 3.1% | $46.5 billion |
| Capital Research & Management | A | 2.9% | $43.5 billion |
| Employee stock plans | A | 1.6% | $24 billion |
| Steve Jobs (from the Pixar deal, on closing May 5, 2006) | A | about 0.5% | about $7.4 billion |
| **The Smilley family** (shares from the 1966 buyout, never sold) | A | 0.08% | $1.2 billion |
| Other institutions (pension funds such as CalPERS, mutual funds, sovereign funds, hedge funds) | A | about 41.7% | about $625 billion |
| Individual retail investors | A | 16.9% | $253.5 billion |

*Value at a $1.5 trillion market capitalization. The Pixar share swap slightly increases the share count when it closes.

**The Smilleys' 0.08%:** it's the last piece of what Cornelius received in 1966, and the family has never sold a single share. It gives them the right to attend every annual meeting and speak at the microphone. Desmond has been using that right for years, and it is a weapon waiting to be used.

**Marc-Anthony's wealth:** in 2006 his trust holds 0.5% of Donohue, about $7.5 billion, on top of his own earnings. His canon personal net worth of over $990 billion builds over the course of the saga.

# 5. The Disney Replacement Map

Every place Disney appears in real history, Donohue takes its place. Companies Disney *bought* (ABC, ESPN, Pixar, Miramax, the Muppets, Marvel, Lucasfilm, Fox) still exist under their real names, because Disney didn't create them.

| Real world | Our world |
|---|---|
| The Walt Disney Company (1923, Burbank) | Donohue Entertainment (1923, Burbank) |
| Walt and Roy Disney | Gus and Lucius Donohue |
| Mickey Mouse / Oswald the Lucky Rabbit | Sparky the Firefly / Pepper the Pup |
| *Steamboat Willie* (1928) | *Midnight Special* (1928) |
| *Snow White and the Seven Dwarfs* (1937) | *The Glass Mountain* (1937) |
| Disneyland (1955) / Walt Disney World (1971) | Donohue Kingdom (1955) / Donohue World Resort (1971) |
| Disney Channel / Toon Disney / Radio Disney | Donohue Channel / Sparky Toons / Radio Donohue |
| Touchstone Pictures / Hollywood Records | Lantern Pictures / Firefly Records |
| Walt Disney Imagineering | Donohue Imagineering |
| Disney+ (2019) | Donohue+ (2019) |
| The Disney animated classics | Donohue's own original classics (to be developed) |
| Michael Eisner and Bob Iger | They exist as real people with different careers. Their place at the top is held by the Donohues. |

## Open Questions

- **Original catalog:** by default, Donohue's animated classics are **original films**, not Disney's titles under a new name. Pixar's films (*Toy Story*, *Cars* and the rest) keep their real titles, since Pixar is a real company Donohue bought. Is that right?
- **The founding couple's descendants:** Victor is Gus and Ruby's son. Should Victor have any brothers or sisters, or is he an only child, with the whole dynasty flowing through him?
- **What really happened in 1966** (from Volume 05) now ties directly into the company's history. Do you want to decide it, or should I build the reveal as the story goes?